

Company

USING PROFITS TO FUND EXPANSION

A company seeking to grow may choose to fund the expansion with its profits. This option offers both advantages and disadvantages.

Pros

- The use of profits means that no interest payment has to be made, unlike on money that is borrowed
- Existing owners and directors are able to retain full control over the business, rather than sharing it with new investors
- The company is able to keep a low debt profile, which will appeal to future investors and lenders

Cons

- Profits can take time to build up sufficiently to fund expansion
- Withholding dividends may upset some shareholders who prefer to receive the profit as dividends
- Lost opportunity to earn funds from investing profit rather than spending it

Long-term financing

For a business needing long-term financial help, its own resources should act as the primary support.



Retained profits

A portion of profits may be pumped back into the business. A company may also decide to sell assets to raise cash.

Reduce inventory

It is expensive for a business to retain a large inventory of unsold goods. Cutting the inventory back reduces storage costs, the cost of production, and replacement of goods that go out of date or become obsolete.

Total internal financing for the business

44
the average
number of days
it takes a limited
company in the
UK to pay a
30-day invoice